

RBI REPORT

Cautious Optimism

RBI's optimism about India's growth contrasts with cautionary signals, such as faltering consumer confidence and potential risks in retail credit

BY RAGHU MOHAN

32 |

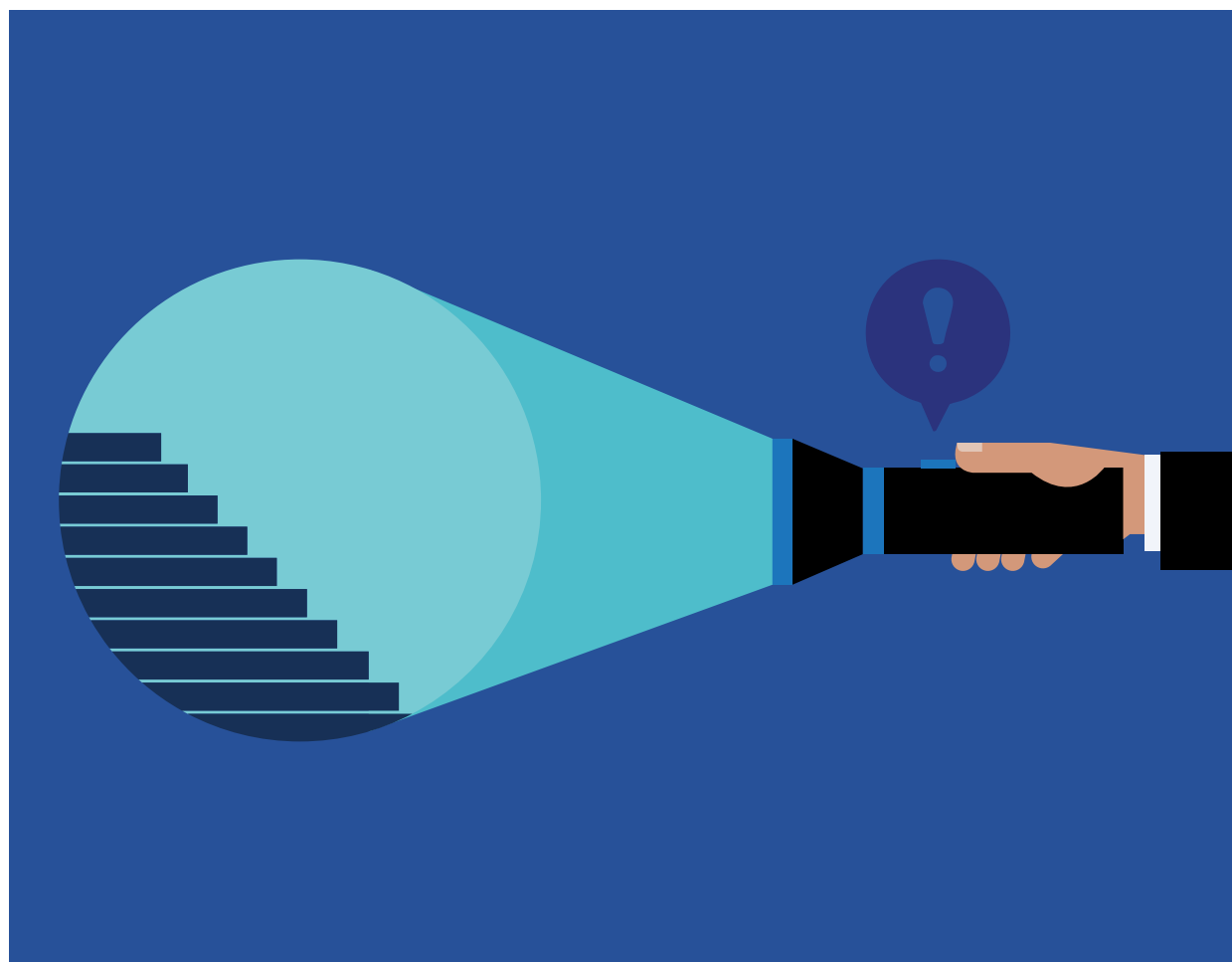


ILLUSTRATION BY **RAJ VERMA**

► **THE RBI'S MONETARY POLICY** Committee (MPC) unanimously decided to cut the repo rate by 25 basis points, marking its first reduction in nearly five years. This shift from inflation control to prioritising growth comes amid a slowdown in India's manufacturing

sector, a key driver of jobs. The RBI's optimism about India's growth is evident, with executive director Rajiv Ranjan stating that the rate cut signals the RBI's commitment to reviving the economic momentum. However, this optimism contrasts with cautionary signals, such as

faltering consumer confidence and potential risks in the retail credit market, suggesting that the economic outlook is still complex.

RBI Governor Sanjay Malhotra's statement underscores cautious optimism regarding growth. Rural demand continues to rise while ur-